AI Spending Is Starting to Move Interest Rates

Podcast: Know your risk

AI Executive Summary

1. Core Thesis

The episode argues that the current market environment is driven by a disconnect between technological hype and underlying economic fundamentals, specifically concerning AI capital expenditure (CAPEX) and fiscal dominance. While tech stocks are rallying due to cross-sector flows, investors are advised to remain cautious regarding AI growth sustainability; if major companies reduce CAPEX, inflation forecasts will likely adjust downward, potentially lowering bond yields. The hosts caution against complacency in high-yield debt markets due to hyperscaler paper issuance and suggest that geopolitical instability (oil transit costs) and structural government financing needs will create a challenging "fiscal dominance" scenario where rates may not normalize until further market conviction breakouts occur.

2. Key Arguments & Data

- **Market Performance:** S&P down ~0.5% (vs. Equal Weight up ~0.5%). Small caps flat. Mag 7 down ~1%. NASDAQ down ~1% despite strong AI hype. Oil up ~3% due to geopolitical supply constraints (Iran/India). Gold up ~0.4%, Silver down ~1.5%.
- **AI & Tech Dynamics:** FT report indicates OpenAI revenue revisions from $70B to $50B estimates, signaling a potential drop in token pricing and capital burn rate. Nvidia is down 3% with earnings projections trading at under 10x 2029 estimates. AI trade volatility is cited as the primary inflation driver; slowing CAPEX = rate cut expectation.
- **Geopolitics & Energy:** Iran transit costs for oil shipments have escalated (up to 5-10x pre-war pricing) with crew bonuses reaching $100k/month per captain due to targeted attacks on vessels. Oil prices remain high (~$110+) despite Trump's comment that he will wait before hitting Iran, intended to stabilize markets but failed to drop prices significantly.

- **Economic Policy & Debt:** Fiscal dominance is viewed as inevitable; governments will override fiscal constraints. Hyperscalers are issuing significant debt (e.g., Nvidia raising $40B at ~8-9% yields) causing credit spreads to widen and high-yield paper supply to increase. The US missed the opportunity to "lock in" long-term rates at 4% historically, now facing a steep curve environment.
- **Social & Behavioral:** Discussion of gambling/sports betting legality vs. addiction risks (moral hazard). Personal anecdote regarding employee lost wages from sports bets. Debate on Libertarian views being challenged by the societal costs of gambling and dopamine-driven behavior.

3. Actionable Takeaways

- **Monitor CAPEX Signals:** Watch for corporate announcements indicating a slowdown in AI expenditure, as this would logically drive down inflation forecasts and bond yields (potential catalyst for TLT positions).
- **Diversify with Hedges:** Current market conditions lack conviction breakouts; maintain tail risk coverage and hedge both upside potential and downside drawdown risks.
- **Beware of Credit Spreads:** High-yield credit is widening due to paper issuance by hyperscalers, not necessarily signaling a macro turn yet, but requires scrutiny regarding debt servicing capacity (e.g., $3 billion/year for one tranche).
- **Watch Oil/Geo Flows:** The economic impact of rising transit costs on energy margins remains a critical factor; do not ignore the supply chain implications despite geopolitical noise.
- **Evaluate Growth Valuations:** Do not chase tech valuations without considering 2029 earnings potential or revenue growth rates that match the cost of capital, acknowledging the risk of "bailouts" or government intervention in public-private partnerships.

Full Transcript

I think rates probably should come down with it. I think the trade is a big source of the inflation. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots. And not only do we have the team back together, but we're doing it from the actual studio. But again, man, this just feels like a flash from the past. And it's a lovely 73 degrees in the studio. I know. It has me pumped. Oh, you know why? It's just because the temperature outside has gone down. Got the window open. Yeah. And they haven't turned the heat on yet. And nobody cares. But for those who aren't home, they have, I don't know, like the. They must have like an access portal to like the core of the earth because it, whatever they have heat in this place is, is not a joke. Well, have you, have you, I mean, they've got boilers. First of all, I mean, this is old school. Yeah. Yeah. Yeah. Super old school. I think this bait place was built in 1908. It had horse stalls downstairs. Well, I mean, 1908, right? Pre-dates. I know there was a car garage. Yeah. And they used to do military exercises in the, in the big room upstairs. So I'm just rolling dirty.

Yeah. Yeah. Now it's just welcome to Seattle. Um, all right, man. Again, um, kind of feel like it's one of those days where you could take this in 18 million different directions. Let's just start off with the rundown and go from there. Yep. And we have about seven minutes to go. So this stuff might shift a little, but at the moment, S and P is down half percent and golf clap

for equal weight S and P is it's up half percent. It's, it's been a long time. Small caps are essentially flat the cues are down about one and a half Mag seven down about one all right X us is down point nine despite the dollar being down a little bit dollar down point one five inside of mag seven really the only one to Report as Nvidia down three We'll talk more about the AI trade and what's going on there because that's kind of the news of the day SpaceX up down another 4% They have taken on some water since announcing raising some money. Oil up a little over 3%. Nice, Dave. They're very un-nice for diesel futures. They're 5.3%. Arbaub and gasoline futures up about 2.5%. Well, it's nice if you're on diesel futures. Indeed. And that's kind of breaking out at the moment. But gold up about 0.4. Silver down about 1.5%.

gold miners getting off the Schneid for a day up 1.4, the two year down about two basis points and then the 10 down six and the 30 down seven. And I'll just go ahead and blame the economist for putting out a very overtly bond freak out bearish cover today. So if there was ever a time to get some TLT, it's probably now, though I really want that five and a half for the 10 to feel better about it. Ball up about 2% on the day and then the AI trade all that stuff's down kind of three to six percent three to seven percent really so There hey look at that and doby's even up today Yeah, you know which it shouldn't be based on the news that came out about Adobe getting caught up in that Microsoft lawsuit. Did you see that? Okay? I haven't read through it. Just saw a headline The headline looked like it should be negative. I looked at the underlying stock. Then I flipped over and looked at DocuSign real quick. And I went, oh, right. That's right. AI slash. Yeah. Because the cross-sector flows mean everything, not actual fundamentals anymore. The other one that's interesting, and I'll just say it, for one day, it actually makes sense to me, which is on a day where you've got AI getting hit on such a strong tape that rates would pull back.

That makes sense to me because if you see anything are showing or demonstrating or looking like the AI trade is slowing down, I think rates probably should come down with it. I think the AI trade is a big source of the inflation. If it was going to actually mute CAPEX, which to be clear, I don't really think today's news is going to touch CAPEX, but yeah, if you got announcements like, hey, we're going to chill out on CAPEX, like, I

mean, Anybody's growth forecast should go down and and Anyone's inflation forecast should go down and obviously that means your view of bond yields should come down. Yeah. Yeah, that kind of that made some sense to me today What's kind of strange where did you go through did we did I think I cut you off halfway through it? I got the thing. I got it all. Do we talk about gold and silver and all that kind of stuff? Okay dollar hanging in there dollar still looks to me like it's got a date DXY at 103 Yeah, we'll see how that plays out. Another interesting comment, you know, regardless of what you think about Donald Trump, he's hard to triangulate. I thought that was a really interesting comment that he came out and said, we're not going to hit Iran until after. Yeah, because yesterday the news was that they were thinking hard about it and they had tasked the Pentagon with a plan to do it and everything. And then I think that was a big reason oil started picking up. I think he probably came out today and said, we're not doing that to try to get oil.

to back down and it did a little bit, but you still still look like three, three and a half. So not, not that helpful. Yeah. Nothing that, uh, the fact that we have, we, I mean, we really stopped. Like we haven't, we haven't even hit any of their tankers back or anything like that. We had just, we had just stopped, which, you know, you only have less than a month left to the, to the election. So I don't see why you can't hold out for three and a half weeks. This still remains one of the hardest geopolitical things to handicap I've ever currently, you know, It's it's again, I for me at least this definition of a Gordian knot. Hey, at least there's no plague out there. What are the reports coming out of that? Is that are these legitimate? I mean, yes, like we know someone died of that worked in a plague lab died of what looks to be very likely plague like bubonic plague. It's called pneumonic, I believe. Of course. But I was literally ignoring it.

And I was like, whatever, unless it's obviously spreading in some way. And it sounded like they were doing a decent job of quarantining everyone that could have come into contact. But I saw a headline yesterday that a second person had died, and that's when I was like, oh, not cool. But they're not sharing much information, it seems like. So who knows for now? I saw the CDC. This makes it worse, probably. Whoever's one of the CDC basically said, we don't really think there's anything to worry about here. Kind of

made me worried, but whatever. I'd feel a lot better if Fauci was on the case. You could, you could put anyone in charge of CDC. The fact, once they say it's nothing to worry about, I'm just gonna be like, so I should worry. Yeah. Yeah. That was kind of like Besson's 6 billion bazooka. The jokes aside, probably shouldn't worry until like if it would be obvious it started spreading in a meaningful way. Hey, speaking of which, I don't want to bag on the guy, but I looked into Besson's performance a little bit.

Oh, when he was running money. Yeah, it's not. It's not good. He was not very good money manager. New. Yeah. Especially in the time that it included, I was sitting there on. Again, to be clear, you can be a great treasure secretary and bad money manager. Yeah. But a lot of people put a halo effect on him because of who he worked with and for his career. But the reality was when the guy ran his own book, it wasn't very good. Yeah. Which which really isn't surprising because you and I both know this this and guys I Mean we put up some numbers especially in the last five years that I'm extremely proud of but I'm not making this statement like From the personal belief that I should be the subject of the next market wizard. So I'm not over the next stressors here. No, I talk about a job. I talk about a job I wouldn't want But it is interesting that in this in this game like any other game Talent exists. It's hard to put something on it. But just because you know all of these things, it doesn't mean you're going to be good at it. Not even close yet. The other weird part about this, and I've noticed this, it's almost impossible to predict who is going to be good at it. I agree. You can meet some people that have these markers where you're like, I know you haven't ran money before, but I think you should.

And they can end up being disasters. And I think a lot of it just comes down to their personality. You know what I mean? Like Buffett talks about, he goes, you don't have to be a genius in this business. You just have to be able to keep your head about you when everybody else is losing theirs. A little different from running like a bunch of outside money maybe, but some of the best pit traders ever like in Chicago, they're just like barely educated working class dudes. They're street smart. They got a feel for the pit and stuff. But like, even what they're trading, if you just ask them some big macro questions about them, they'll be like, whoa, whoa, whoa, like let's, no, no, no, it's not how I do this. And you can have the PhD in there that has

forgotten more about what's being traded and would just get run over by, you know, the guy with Italian accent and the, and the chest here hanging out of a shirt or whatever. Like that, they got ripped your face off in the pit. So.

Yeah, well in law like I think the greatest the greatest billboard for that dynamic is long-term capital I mean truly the smartest guys in the room literally. Yeah, truly the smart now I You know what honestly? I think that's a story that every investor should go read because I think it tells too smart for their own good at the end of the day too smart for their own good and to me it's also a working proof of what Charlie Munger was talking about which is Ladies liquor and leverage right like meaning Not to mention all models are wrong, but some are useful. Right. But if you play with leverage, it's such a tough concept to get people that haven't managed money to get them to understand. They go, no, no, no. It's not if. It's when. That rogue wave will hit you. Yeah. It wasn't 1.3 times leverage. They were talking multiples. Right. But my model says, And just you're like, that's the problem. Models cannot predict rogue waves. And yet we know they happen in nature. We know they happen in markets. And if you're not levered, you can always survive it if you're not an idiot, you know. But if you are levered like that, getting smacked, that's the other thing is I cannot imagine whenever I see these strategies that involve maintaining a certain percentage of leverage all the time, I'm like, If you don't have a dude that's got a long track record of being able to know when to add and then pull leverage, I'm not interested. Don't touch it, right? Just because, again, it's just that law of averages, right? It's just gonna keep going around. Okay, where are we at on oil? What are you thinking? What are you reading? Do we have any more updated news about how much oil is getting through on a day now since... I haven't seen anything in the last couple of days other than a decent amount off those like 14.

million bearer highs, I'm pretty sure still. And you're still at a point where it seems like Iran's hitting about two a day, which is putting pressure on the trade. And not to mention just the transiting costs are getting so obscene that the demand destruction angle, the product price angle, all that stuff is starting to feed through a little harder because sure, oil is 110 or whatever, but you add in the cost to move it. and it's a lot more than that, which is

actually eating into margins for the refiners and stuff, because by the time it gets to them, it costs them a lot. Yeah. Because you're talking, I mean, at least 5X pre-award for what it costs to move it, I think maybe 10X or something. Like it's a crazy expensive, like million dollars per shipment and stuff usually. And they're, I think they're paying the ship captains, like, hundreds of thousands per month now and Every successful transit is like a 50,000 bonus and like like they are paying the crew And I think this is part of Iran strategy to they recognize that and they There's been a few or at least a couple in the last week or two where instead of just disabling the engine like they've been doing for the whole war They're hitting it multiple times and killing people So like that changes the calculus for your crew to where now it's like, okay, I'll do like one a month and you got to give me way more than you already were, which was crazy. So we'll see. And there's only been a couple of those. So maybe that's not the case. But if we keep seeing casualties, uh, aboard these things, that, that suggests it's this that much worse, but I was going to say, I, I want to go, I might want to go moonlight and push some push.

Push some oil through the straight man. I was happy to do it until the cruise started getting hit. Well, yeah. We'll turn the lights off and sneak through the Omani coast or whatever. Like if there's a 10, 10% chance again, maybe stay away from the engine room, you know, they're paying those guys a hundred grand a month. Yeah. For the captains, you know, I'm sure the, the poor serfs from India or whatever they have running everything else, probably aren't making as much, but I'm sure it's not bad. Well, I mean, if you're dodging missiles, I guess that's what it would cost. Yeah, and you know, if you're from if you don't come from much and from India or whatever and you bring back whatever they're bringing back, it's probably a huge deal for them and their families. Yeah. Did you read that the report? I again saw the headlines didn't get a chance to dig into it. But did you read the report that came out? It was it was who was it? Somebody came out and announced and it's making everybody question some of the capex. Oh, so yeah, today that the FT had an exclusive article out.

about open ai right there it's a little confusing so what what they were saying was like oh man a bunch of us thought their revenue was going to be about was running at a rate about 70 billion this year but we just saw some

new numbers that makes it look like no it's 50 which i'll have two minds here if that's legit if both numbers were legit and that's apples to apples and it really is that big of a write down over what we thought not that's not a small deal and if you if you see what's going on with token pricing Which is just falling off a map. It's kind of obvious that revenue Today probably isn't what it looked like two months ago or whatever But at the same time like I know there's some weirdness of like anthropic well like counts like how much partners are making off their stuff kind of versus Open AI doesn't so that might be a little misleading and this is also the FT like seeing documents sent from because they're not public, you know documents that went to investors so I don't know. I think there's some margin for error in the reporting, but I think Warren Pi has made a good point. Like, you know, let's say it is 20 less. He ran the numbers for all the, all the like labs. So it's, you know, the labs are growing at 700% or, you know, almost 600%, like whatever. Yeah. Is someone, is, are we going to stop spending on ships and stuff because we're only growing at 600 instead of 700 or whatever? Like probably not.

If anything, probably someone else would be like, Oh, if you guys got some chips left because you don't want them like, you know what I mean? Yeah. No, Elon's under the couch cushions trying to find chip money as we speak. So it's why I didn't. And I remember you saying it at the time. I mean, there must have been a structural reason for it. I just didn't understand why he was only pulling out 80 billion when he got that valuation on the top line. I just. because he couldn't have got the valuation if he pulled more out of the assumption that had to go. I mean, that had to be it. That had to be it. But now he's turning around and trying to raise another 40 billion right now. Yeah. And you're like, and I think the bonds they were, they're selling for that are going to be like eight, eight and a half percent. So it's not cheap debt. You know, granted, you know, we're five, almost five and a half on the 10, but still. No, I mean, that's what is that. Is it to 40? You're looking about three billion year ends is debt servicing on just that one tranche.

Yeah. And I think that's why a lot of people are getting freaked out by spreads and just high yield credit. What is yielding and stuff now? I don't worry as much about the yields because of course the yields are high. Like every yield is ripped and these guys are putting out a lot of paper and even,

even on the spread, like just the supply of man, like all of a sudden we have a bunch of supply of paper. Like, yeah, like it's not insane for spreads to kind of widen out here. You could have that happen without it being some massive like signal of a big turn. Uh, I'm not saying I'm, I'm not saying I'm, you know, I don't care about credit spreads, but I just noticed a lot of people will get in like really freaked out by it. I'm just like, I don't know. Well, yeah, I mean, and to your point, I mean, unless if they go higher than like 2022 is high, like call me for sure. Yeah. But I mean, yeah, unless credit spreads are talking to all the hyperscalers and getting their CAPEX estimates, or if they think they've got a lead that all of a sudden the US government is going to find fiscal restraint.

Yeah, which ain't gonna happen. You know what I mean? But like it's and this is what makes this environment so tough. And I think that's and it's one of the things that lends itself to a lot of colleagues and friends of ours talking about fiscal dominance, meaning that's a part of it, right? Like, yes, we acknowledge these other things are playing factors. But what these governments are going to do, they just simply are going to override those those factors, right? They're all they're all they're all like political choices. And they can just hit buttons and mute it at least for a while. Speaking of France, their yields have been a big problem lately. And when they came out and started saying, well, we're going to probably do some more at the short end. Like the same thing we've been doing. Like everyone's going to do that that has a problem. If you have a problem financing at 10, 20, 30, well, how do you feel about some twos? How about you? What do you think about some six month stuff? Yeah, I just, and I will be shocked if this doesn't happen. I will be shocked.

if many of those players, including the United States, now the U.S. is a little bit different because of our place in the world, but I will be shocked if this isn't the case where a couple of years from now they're sitting there going, maybe we should have been locking in some of those rates. Pretty clear. Do you know what I'm saying? And I understand why they don't, like current rate levels, but on a historical basis, you're still on the low end of the scale. Right. I mean, I think we were all saying that at four on the 30 or whatever, you know, like, ooh, man, you missed your shot. The reality was at four, they should have still papered the street up for four. Oh, yeah. They should

have given them as much as they possibly could. I don't care what the bid ask even was. No. And I have a feeling a lot of these companies are, well, they will. It's just what they do, right? They will be walking into longer end rates down the road, not less. And I, and I think the more of that short-term paper they put out there, the more obvious the issue becomes too, right? It's kind of, But again, it's a it's a can kick. And like we've said, till there is no can and there is no road, they'll continue to do it. And you're going to keep seeing it get more and more, you know, like I said, you're going to see and we were talking about this yesterday, you're going to see collaboration, you know, between central banks and Treasury departments. And, you know, I think you're going to see people, you know, sovereign entities throwing money up into into funds to buy each other's debt now. Well, global debt, do you believe some of some sort?

Yeah. In the next 20 years. Yeah. If we don't AI our way out of it, right? Yeah. And again, like, AI is a revolutionary technology. Just things don't usually work that way. Or that fast, yeah. Yeah. Or that fast, right? It's not just going to get rid of all your fiscal issues and all that other kind of stuff. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. And like we've also talked about, too, law of large numbers, all these other kinds of things. It's still fascinating. I've still got to get that interview put together with that buddy of mine who's running an AI startup. Because these small guys are still in a...

in an environment where everybody is so sensitive to these guys were rates of revenue growth. You're watching some of these starts small startup companies ripping revenue growth that makes anthropocon opening I look like pikers. And granted they're smaller and I get that it's easier to build a smaller pie fast but it's just not what you should be seeing in an industry that is supposedly so dominated by a few people and I don't. I still am struggling to wrap my head around that moat issue. Yeah. Along similar lines, we've talked about meta a few times. One of the reasons I find it interesting is because they actually lost the frontier battle. If you go back like a year or two, whatever, their models were basically as good as

everyone else's. No, they got smashed. But I think that made the best thing that ever happened to them. You could do a little less cat-backs, obviously, not chasing that ghost.

Kind of pivot to like, all right, let's make stuff for regular people where regular people can use this. And I feel like Muse and the little hardware piece, the key chain hardware piece, they may always forget the name of it. They made to go along with Muse. Like that's something regular people were like, oh yeah, this is how I can use AI. This is useful. Now that doesn't mean they win. Someone else can be like, that's a good idea. Here's, you know, here's twos to beat your Muse and they get beat, right? But They're like it seems like they're the first ones to like make a thing just for regular people to use it other than just the chat GBT app or whatever So I don't know I just kept my eye on that Because they may have to do less a little less cat-backs than everybody else when potentially and Better at turning it into a product that customers want instead of just a you know a chat bot in the sky Yeah, the other thing too and I think that as we're And again, we've spoken about this many times, but just always wanted to keep it the front of mind. I think it's so important that we're looking at all of these revenue growth rates on all of these companies and considering the investment line behind it, right? Yeah, the cost of that revenue is not nothing. That's for sure. No, and now you've even got to talk about, again, it's on the periphery, but you've got to talk about potential bailouts, some of these hyperscalers. And I wouldn't be surprised if those things happened.

Yeah, so yeah that I think it ends up being a weird public partner public private partnership that gives them monopoly power it becomes like the The South Sea trading company kind of vibe where it's like kind of cotton government kind of private you get a much protection to get walled off but with that comes a bunch of responsibilities to the government to people profit-sharing like You know what was it? You know AI dividend check to everybody or whatever like something like that I don't know what it's getting up looking like. I'll just know the numbers are so big. No one's going to back off of it. It doesn't feel like, but at least the way the current math works, I don't know how they pay for it three years from now or whatever. Yeah, I don't either. I mean, that's what I'm saying. Like, you know, we watched some of these hyperscalers stocks going up and

everybody's starting to cheer and I'm sitting there going, when's the next equity sale going to get announced? Speaking of, there's a new ETF that has. And remember, the higher rates go to.

Like every tick higher rates go you got to assume that more of that funding comes from equity sales, especially at these valuations as opposed to that. Yeah, I Mean how much stock you can have to eat? Yeah, there's a new ETF that is launched. I think this week maybe last week that has the big public hybrid scalars, but it also has equity for For both open AI and anthropic in it So it's a it's a it's a good thing to keep an eye on them now you know, to see how the public market's treating some of that. It's fascinating. It's off to a bad start. Yeah, I thought today would hit it more than it did. I got to I got to put that in the daily rundown so we can start watching it actually. Yeah, for what it does price action wise each day. Yeah, keep an eye on that. I am the appetite for some of this stuff in retail. Oh, I mean, it's just insane. And he's like.

Sports linked ETFs and stuff like hockey teams and it's basically sports gambling wrapped in ETF and stuff No, I've heard about it But this goes back to conversations that you and I were having to you know eight years ago You know remember we were saying stuff like eight years ago about the over financialization of the economy I mean just I mean let's take a look at that now. Well, I will admit when I left watching the state to go to Georgia I did fire up the cow she had started doing some some sports stuff now that I can't do it anymore in the state. What? Oh, yeah. The state of Washington has disabled like a bunch of the different contracts on Cauchy. Frank, just to be like actually fair, like probably a really good thing. Okay. Like some of the super DGEN stuff that you can do on there, like you can't anymore. Like there are things you can still do. Couldn't you just get a VPN? Oh, yeah. I mean, of course you can find a way, I'm sure. Yeah. Now, unless they location service you better than I know about, I don't know, but I'm sure you can.

And if not, there's offshore accounts you can easily do on the internet. But, um, but yeah, I fired that bad boy up in Georgia and I was just like, boom, boom, boom, when we get my sports, my sports can't like fix in, you know, it's a really weird thing because as that, as this is, or as this has evolved and

rolled out, um, it's challenged some beliefs that I've had. I've always had more of a libertarian view of those kinds of things. Um, but I'm worried that part of my, I was listening to a podcast the other day. I'm totally with you on where you're going with this. Okay. I've had the same journey and They were talking about painkillers and They're for whatever reason it's good calm. Yeah, if for whatever reason when I'm on painkillers for two days Or even what a day I don't know why that figure two days is stuck in my head. I just I'm miserable I'm freaking miserable. I don't want them. I throw them away. I can't tell you how many of those I've thrown away. And it's not because I'm a more self-controlled disciplined person. It's whatever that thing is. I have no idea how people get hooked on them unless you're in massive pain. It touches your brain different than other people. Yes. Yes. Okay. That realization helped me have a lot more compassion for people that struggle with addiction because I don't have any of that, whatever that is. Yeah. So So it kind of robs you of this moral superiority feel like so just get off the smack, man. Well, your your brain's wired differently. Exactly. Right. And I've had a similar. I'm not a gambler. Never really enjoyed it. And the reason why I think is because regardless, I mean, if it's like a 20 golf bet in between these or whatever, that's fine. But if I go sit down at a casino, I don't want to just give money to the house.

So I find myself starting to grind and starting to pay attention and I go, why am I doing this? You're working. Yes. I don't want to do. I'm managing money all the time and doing all these things. Right. And so my fear is, is that because of my personal brain chemistry and my, you know, that it's, it's made me kind of look past these problems where I'm starting to look at a world and go, you know, when I was a kid, there weren't many places you could lay a bet. Exactly. Right. And It's hard for me to think that society was worse off because of it, right? Oh, for sure. I remember walking in, I was probably about, what was that? It's legitimately taking advantage of like the lowest impulses of human. Yeah, it really is. Yeah, you're turning the brainstem into an ATM effectively, right? And that, I mean, talk about predatory, right? And they are. Yeah. Oh, of course it is. Some of the stuff Robin Hood has done and still does.

Well, it's like, like I hear everybody talking about parlays all the time and I'm sitting there going, do you know what that does? You're out to winning.

Yeah. Like they're stealing money from you, right? Like it's, I mean, you guys sound like a bunch of, they sound like. And then that just taps right into the low part of it. Yes. Yes. And because every game you add, it's like, wow, look how much money I can win. Yeah, but you won't. And you hear these stories of these, these women that are finding 40,000 gambling bets. Yeah, and the husband liquidated the college funds. It's so dark. And this was probably, I don't know, it was about five or six years ago. We had an employee that was not a gambler at all, but he enjoyed playing the tables. So for his birthday, we went out to casino, right? And I'm standing in line going to get chips. And the guy in front of me literally whips out, it's a Friday, whips out his paycheck. What? Yes, whips out his paycheck.

And I remember at that moment, I just went, you hadn't thought about that. Like this is, there are probably kids at home that are probably going to have some food insecurity because of this. You know what I mean? I just saw it in real life and I went, and I have zero interest in telling other people how to live, but there's clearly a line there. That's like when you see poverty-stricken people buying 80 for the scratch offs, you're just like, oh my God. Yes, same. Yes. I mean, and yet, Even though it makes sense in a way like it truly does like but yeah, yeah throwing a dart at the board hoping you get lucky I get it I get it But you'd be far better off taking that money and putting in it, you know all the things that we all know and it really opens up a Pandora's box and it's really challenged a lot of my libertarian thinking of just saying You know Maybe these I can't I just hate telling adults what they I know I'm that way with everything but if it's Consenting adults like didn't leave him alone. Yeah, my view of most things. Yeah, but There is a pretty immense society on that negative to it to it and going on there just is yeah, I had a speaking of which I had a back-and-forth with a trans person on Twitter the other day and It was actually a productive back-and-forth And I just said no no no hold on you're getting you're getting me wrong and I think you're getting a lot of other people wrong I have no desire to tell adults what they can do with their own bodies as it relates With discussions are having with their own doctors. I have zero. Okay, what I'm not for is the ability to permanently alter somebody's chemistry before they're fully mentally or sexually developed That's that's that just seems nuts to me, right? And and we had that, you know, but I was reasserting that belief of look I don't I don't want to tell you what to do at all And they were and then

that person was responding and saying well then that puts you in the minority because a lot of people want to get rid of sex change operations altogether. And I said, well, I don't, I think that there's probably some fear behind that opinion. I don't, I don't hear that being screamed and bandied about. It's more about keep your hands off the kids. But, you know, it's really, it's really challenged a lot of those libertarian beliefs in terms of what is good and productive for society and how should we allow it? How should it be included? And I don't really have answers for a lot of the stuff. Yeah. It's something John Arnold's talked about a lot.

the kind of gambling epidemic and a lot of his stuff kind of changed my view on how it just, if you're going to make a legal fine, but I'm okay with some structured, you know, rules about it. Like let's, let's leave some of this, some of this nonsense out, you know, a perfect example. And it's already shown to be indestructible. It was like the, what do you think this next pitch is going to be like crap like that? And then you got major league ballplayers, you know, Throwing stuff on purpose to make 10 grand or whatever throwing away millions of dollars, but yeah, I'm doing that but like We and all but incentivizing the next pitch to be like that's just dumb or like this whole like if this guy says this word in the speech like okay That's that's not a market. That's that's like he didn't as a man. I don't know what I mean That's like yeah That's like rounding up a bunch of people and betting on which which crow is gonna fly off the power line first Right, exactly. Yeah, I mean, we're just talking about just total degeneracy here, which doesn't benefit anybody. It's not a productive use of capital. The other part of it, it is a symptom of the illness that I think that this country is dealing with a lot, which is talk about an incredible wealth transfer tool, right? Look at a casino. When you see a casino, what you're seeing is a wealth transferring tool, right? The reason it's got you know, the big giant pools and the penthouse. So it's cause it has taken the money from the pockets of usually those who can least afford to get, right? It's just, it's an exacerbation of so many of the ills that we currently have going on. Some of the biggest political donors in our country. The Adelson's made all their money out. And again, look, they did nothing illegal in my opinion. I'm not saying the way they made their money is bad. I'm saying it is what it is. And at a certain point we've got to ask ourselves, Is this beneficial and where does human liberty and freedom step in? I don't know, man. It's uh, none of us do

It's kind of a weird deal because it's kind of it in some ways. It's a tale as old as time is technology Continues to ramp and progress it brings so many of these debates in that you never really thought you'd have right for instance Nobody I mean nobody predicted 20 years ago that everybody would have effectively a casino and a supercomputer inside their own pocket You know, that's what you've got now. Yeah And then the flip side is dopamine harvester in your pocket. Well, yeah. And then you can even look at, you can, then you can even get into ETFs. You can even look at wall street investment vehicles, right? Like, is it that much different offering three and four X levered ETFs than offering parlays? We weren't that far away from people being just worried about ETFs in general. Like this, the structure of ETFs for like, whoa, that's going to blow up the market. These are scary. We went from that to like, how do you feel about this?

3x Bitcoin ETF for this in a NHL team gambling ETF and it's like wait, what how do we get here this fast? Cuz why not baby? Yolo or the one that has much private companies in it tomorrow No, yeah, it's a disaster. Anyway, you got anything else. I don't think so We closed a little higher than than prior quotes. That's why we got where we close on the SP I Pulled up the cues were at 1.34, which is just above they kind of tested retested that breakout and surviving so far. We'll see if, if they continue to survive tomorrow, but the narrative I was pumping all that he closed down 0.42. The narrative I was pumping all last week is before we jump on this whole breakout and thing, when looking at like, just looking at all the things we're looking at, looking at what's going on in rates, looking what's gone on in spreads, looking at energy, looking at all the different things. The thing I was, I was saying when I was rolling solo last week was, Hey, we got to give this more time, right? Because I understand all the bulls are going to be on parade because the NASDAQ said New High. First of all, let's keep our eyes on the S&P. And if this is like other times, I will not be surprised if this takes a bizarre amount of time for this market to go, maybe valuation shouldn't be quite at this level with what's going on with rates. Now, if you get some positive movement on rates, I think that could be the fuel to push you higher. But You know, it's like we've been talking about internally. I I do not think you look at these tapes right now and just think I hate these moments where I can make a great case either way. I know just hate them I know and but to speak of the other side of that I was looking today at What

is what does NVIDIA trade out on 2029 earnings now? That's that's pretty far away right and obviously none of us know what though actually but if you take current estimates for 2029 earnings NVIDIA trades under 10 times that like that that And given where earnings growth is a lot of these are seeing multiple compression right now So so like especially if you look at a year or two like significant that 4p is just collapsing for a lot of these things But at the same time a couple little tweaks Like if you told me we're about to have a 20% drawdown I'd be like that makes sense. Yeah And if you told me we're gonna rip 20% until into the end of the year be like I could see it. Yeah And that's why that's an environment for you got to hedge both sides to some degree. Yeah, I agree. I think it's time to have proper hedges on with some right tails covered too at the same time. I don't really know. Speaking of that, Dan talked about it, but Bitcoin kind of retesting a little level that's like, maybe that's a spot to punt with a tight stop. That's what I'm saying. And this was my point. Every key thing that I'm watching, I get why there's excitement, but just to me, They've, none of them have proven anything yet. I have not seen any conviction breakouts to new levels on anything. If Q's go put in a new higher high here, then it starts feeling pretty real. Yep. But at the same time, if we close down 1% tomorrow, it looks like there's a big fake breakout. It does. So you're 2% from either side looking powerful. Right. And then the thing that you got to add into the mix is when you consider again, the moving rates and all the other things we're talking about, that makes sense. Right. Like, like you said, I could make an argument to either side.

Um, when I read the bull, my bull proxies on Twitter, I'm like, yeah, good point. Yep. And I read the bears. I'm like, oh, man, good point. Yep. Yep. It's this struggle point. Yeah. Um, involves nothing. So like, and that's what has been leaning a little bit to the advantage on the bear side here. I could be easily swayed with one or two more bits of action, but, but it's, it's the moving rates primarily where I'm just like, guys, yeah, that just feels like a big stretch to me when I look at. We're but you know earnings growth is the earnings growth and the economic growth really help power it. Yep. Yep. It is what it is big time. Yep. Anyway. All right. You good? Good. All right. You guys as always go guards. Yeah. There we go. They speaking of which they won the other day. The one that we won yesterday. So we got game whatever it is for tonight. And the Yankees are knocked out. Yes. That

makes me so happy. I love Tampa. I love that organization. They're just like us except they spend probably twice as much as us. It sounds great. Yeah. They're just like us except they're better.

It's literally true. Anyway, so as always, you guys follow us on social media, both on X. I'm at KYR radio. Chase is at Pinecone macro for the video feed. Get it on YouTube. Just search Know Your Wrist podcast. You guys know the drill. Have a wonderful evening. We'll see you tomorrow night. You're listening to Know Your Wrist podcast. Download and subscribe to knowyourwristpodcast.com. Investment advice cannot be given without a client service agreement. Zac Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bollard Capital Management is a marketing name only and does not carry a separate registration.